

Welcome to part 2, at this part, I will introduce the historical development of cryptocurrencies and exchanges.

As we know, bitcoin is the most representative cryptocurrency. I will use Bitcoin as an example to show you the history of the cryptocurrency. Bitcoin first appeared in Satoshi Nakamoto's white paper in 2008, he proposed a peer-to-peer electronic system. It is a decentralized(去中心化) digital currency and not be controlled by any government or organization. the design of bitcoin is combined the former academic ideas, such as digital signatures, with the new blockchain system. It uses the computational proof of work to ensure security, allowing **strangers** to trade without trust. in the early years, bitcoin have little value. The most famous stories is that someone paid 10,000 bitcoin for two pizzas. This trade in this stories established the foundation transaction of bitcoin, finally found the a community of **miners**(mai ne si) and developers who kept the network running. After that, Bitcoin slowly gained attention as a new form of money.

All right, let's come to the milestone and technological evolutions. Bitcoin first major price increase was in 2013. In the first picture, you can see that the changed in price of bitcoin. This rapid rise and followed crash highlighted the extreme **volatility** and foreshadowed the speculative cycles to come. Almost at the same time, hundreds of alternative cryptocurrencies began to appear. New platforms like **Ethereum** (a se re e m) expanded blockchain technology beyond currency, enabling smart contracts and decentralized applications. These innovations marked a shift from Bitcoin as a singular experiment to a diverse crypto ecosystem.

Ok, let us move to the rise of cryptocurrency exchanges. As cryptocurrencies grew, exchanges became critical infrastructure. Initially, trading was informal, it looked like a small market, but in July 2010, the Mt. Gox (Mount Gox 门头沟) exchange launched in Japan and quickly became the world's leading Bitcoin exchange. By 2012, Mt. Gox handled over 80% of all Bitcoin transactions, illustrating the how important the exchanges for **liquidity** and price **discovery**. However, this early dominance came to a dramatic end: in early 2014, Mt. Gox collapsed after the loss of **seven hundred forty-four thousand** Bitcoins because of a massive security bug. The loss is worth about 450 million dollars at that time.

The Mt. Gox accident was a milestone – it eroded trust and highlighted the need for better security and oversight of exchanges. After this accident, other

exchanges filled the blank: regional platforms like BTC China ,Bitstamp. They learned from Mt. Gox's mistakes. By March 2015, these handful of exchanges handled 95% of Bitcoin trading. In the following years, exchange services were further professionalized. For example, Binance, founded in 2017, grew internationally by listing many cryptocurrencies and operating with a more tolerant policy. Binance quickly became the world's largest crypto exchange. Today's crypto market relies on dozens of major exchanges (both centralized and decentralized), which have made buying and trading crypto far more accessible.